Quarterly Review: Q3 2026

Summary

Where the book makes money.

- **Theme 1 (BoE):** makes money unless the BoE delivers the full hiking cycle: +£3.7m if gradual, +£3.6m on one-and-done, −£1.4m on the full cycle.
- **Theme 2 (inflation persistence):** makes money while energy stays high (+£0.9m to +£5.6m) and loses £3.1m if the shock fades.
- **Theme 3 (France):** pays in a crisis (+£5.8m), if the shock fades (+£0.9m) or on the grind wider (+£0.7m), and loses £2.2m if France muddles through.
- **Theme 4 (European revival):** pays if the revival takes hold (+£4.6m) or on a Ukraine peace dividend (+£3.5m), and loses £1.3m if derailed.
- **Theme 5 (AI):** pays in a correction (+£2.0m) or a burst (+£11.2m), and loses £1.8m if the boom continues.
- **Theme 6 (dollar debasement):** pays on capture (+£4.3m), a growth shock (+£2.3m) or slow debasement (+£1.4m), and loses £1.2m if the dollar holds.
- **Theme 7 (BoJ):** pays in a disorderly repricing (+£5.6m), a risk-off (+£2.5m) or steady normalisation (+£1.4m), and loses £1.7m if the BoJ stalls.

How the themes interact.

- **Energy is the common factor.** Themes 1 and 2 are negatively correlated by design: the full cycle that costs Theme 1 £1.4m is Theme 2's best outcome. Together they make money in every natural pairing of their scenarios (+£0.5m to +£6.3m).
- **When the shock fades,** Theme 2's loss is offset by Theme 1 (one-and-done) and Theme 3 (Bund calls).
- **Themes 3 and 4 are opposite bets on Europe:** a French crisis is what derails the revival.
- **Theme 5 is the growth hedge:** a burst rallies rates, which helps Themes 1 and 3 and hurts Themes 2 and 4.
- **Themes 6 and 7 are a dollar view in two pieces:** debasement weakens the dollar, which is Theme 7's best scenario (+£4.3m and +£5.6m in the extremes). Both also make money in Theme 5's burst, through the steepener, gold and the yen, so they add to the book's growth hedge rather than to its energy exposure.
- **The weakest combination** is a hawkish US status quo: France calms, the AI boom continues, the dollar holds and the BoJ stalls. That is about −£2.5m: +£3.7m from Theme 1 (gradual) and +£0.9m from Theme 2 (plateau), against −£2.2m from Theme 3, −£1.8m from Theme 5, −£1.7m from Theme 7, −£1.2m from Theme 6 and −£0.2m from Theme 4. Only Themes 1 and 2 pay here, so this is the book's main open risk.
- **Each theme's scenarios are separate,** so these combinations are illustrative, not a joint model.

#	Theme	Trades	Capital deployed	P&L
1	Gradual, short BoE hiking cycle; heavy gilt supply in the belly	Receive SONIA 6m×1y; 6m×1y receiver spread; 3m×10y straddle; 2s10s30s fly; 10y gilt–OIS widener	£3.96m (max loss at stops)	+£2.33m expected (6m); −£1.4m if the full cycle is delivered
2	Inflation persistence, with domestic pressures re-accelerating (UK, euro area, G10)	Long UK 3y RPI; long US 5y breakeven; long EUR 1y1y inflation; pay EUR 1y1y vs receive SONIA 1y1y; long Dec-27 Brent	£4.03m (max loss at stops)	+£1.51m expected (6m); +£5.6m if persistence is broad, −£3.1m if the shock fades
3	Euro area fiscal crisis, with the political risk premium rising	OAT–Bund widener; short OAT vs Bonos; 6m Bund call spread; French bank CDS vs Senior Financials	£2.52m (max loss at stops)	+£0.77m expected (6m); +£5.8m in a crisis, −£2.2m if France muddles through
4	Euro area fiscal and growth revival	Bund 5s30s steepener; 6m EURUSD call spread	£1.51m (max loss at stops)	+£1.10m expected (6m); +£4.6m if the revival takes hold, −£1.3m if derailed
5	The AI bubble bursts	Receive US 2y; 6m Nasdaq 100 put spread; buy CDX IG protection	£2.52m (max loss at stops)	+£2.10m expected (6m); +£11.2m in a burst, −£1.8m if the boom continues
6	Dollar debasement (Fed capture, fiscal dominance, reserves moving out of dollars)	UST 2s30s steepener; short 30y UST; long gold	£2.01m (max loss at stops)	+£0.89m expected (6m); +£4.3m on capture, −£1.2m if the dollar holds
7	BoJ normalisation, with Japanese money coming home	6m USDJPY put spread; pay 5y TONA OIS; short EURJPY	£2.01m (max loss at stops)	+£1.30m expected (6m); +£5.6m in a disorderly repricing, −£1.7m if the BoJ stalls
	Total	**25 trades**	**£18.56m**	**+£10.0m expected**

- *Capital deployed:* the max loss if every stop is hit (the premium, for options).
- *Sizing:* conviction 2 / 3 / 4 risks £502k / £1.00m / £1.51m, i.e. 25% / 50% / 75% of a £2.01m unit, set so the book makes £10m. That is 2.68× the pod's £750k limit, so pod limits need to rise by the same factor.
- *Expected P&L:* each trade's six-month P&L in each scenario (capped at the target, floored at the stop, options at expiry, carry excluded), weighted by its theme's probabilities and summed across themes.

Theme 1: Gradual, short BoE hiking cycle, with heavy gilt supply in the belly

Current state of the theme

- **Monetary policy:**
  - The centre of the MPC (Bailey, Lombardelli, Breeden, Ramsden) backs a November hike, but makes further hikes conditional on the energy shock lasting and reaching wages.
  - Breeden and Bailey shifted tone dovish again in October, calling second-round effects "quite subdued."
  - Bank Rate is 3.75%, held 6–3 in July and September (Greene, Mann and Pill voted for 4%). CPI is 3.1%, seen above 4% in early 2027.
- **Fiscal and supply:**
  - The 28 Oct Budget defers the hard choices. Headroom is expected at ~£14–15bn, down from £23.6bn; below £10bn would hit gilts.
  - Banks expect the remit to rise £5bn to £251.2bn, with Mediums up to 37.4% (from 30.9%) and Longs down to 4.9%, then ~£300bn next year. Belly supply is heavier both now and later.
- **Drivers:**
  - Imported energy, not domestic overheating. Dated Brent is $127 (14 Oct) after re-spiking in Q3 ($70 at end-June, $116 at end-September), and the January Ofgem cap is estimated at +22%.
  - Services (3.4%) and core (2.6%) CPI are flat, and the labour market is loosening.
  - Duration is selling off globally on fiscal concerns and synchronised hiking; the 30y gilt hit 6.05%, its highest since 1998.
- **Pricing (15 Oct):**
  - OIS forwards peak at ~4.88% (~4.5 hikes), ~50bp above our 4.35% modal outcome.
  - Q3 moves were belly-led: 5y +67bp, 30y +38bp, and the 2s10s30s fly up 16bp to +15bp.
  - The 10y gilt–OIS spread narrowed 5bp to 45bp in Q3 and is now 48bp.

Scenarios

Weighted terminal ≈ 4.35% against ~4.88% priced: ~50bp too much hiking, with the skew in our favour. Scenarios 1 and 3 (70%) rally the front end, and the full cycle is mostly priced. The belly stays cheap except in a growth break.

Scenario	Prob.	Terminal	Front end	Belly	Triggers
1. Gradual and short	50%	4.25% (Nov, Feb)	Rallies	Stays cheap	Oil stabilises; wages cool
2. Full cycle	25%	4.75–5.00%	Flat to modest selloff	Cheapens; bear flattening	Hormuz stays shut; services and wages re-accelerate
3. One and done	20%	3.75–4.00%; cuts H2 2027	Rallies hard	Richens; bull steepening	US–Iran deal; unemployment rises
4. Fiscal stress	5%	~4.50%, then pause	Volatile	Cheapens sharply	Headroom < £10bn; LDI-style selloff

- *Weighted terminal:* 0.50 × 4.25 + 0.25 × 4.875 + 0.20 × 3.90 + 0.05 × 4.50 ≈ 4.35%.

Trades

Expected P&L is +£2.33m against £3.96m of max loss. The theme makes +£3.7m if the cycle is gradual and short, +£3.6m on one-and-done and +£1.8m under fiscal stress. It loses money in only one scenario, the full hiking cycle (−£1.4m), and Theme 2 is the hedge for it.

#	Trade	Entry	Target	Stop	R : R	Conv.	Size	Max loss	Exp. P&L
T1	Receive SONIA 6m×1y	4.76%	4.35%	5.06%	1.4x	4	£50k/bp	£1.51m	+£1.20m
T2	6m×1y receiver spread, ATMF / −75bp	Premium ≤ 25bp	75bp payout	Premium	≥ 3x	3	£1.01m premium	£1.01m	+£545k
T3	Long 3m×10y straddle	Implied ≤ 80bp	—	−40% premium; exit 26 Nov	Asym.	2	£502k premium	£502k	+£68k
T4	2s10s30s fly, short 10y vs 2y and 30y (50:100:50)	+15bp	+27bp	+7bp	1.5x	3	£67k/bp	£536k	+£365k
T5	10y gilt–OIS widener	48bp	56bp	42bp	1.3x	2	£67k/bp	£402k	+£158k
	Total							**£3.96m**	**+£2.33m**

P&L by scenario (£k)	1 (50%)	2 (25%)	3 (20%)	4 (5%)
T1	+2,061	−1,106	+2,061	+552
T2	+844	−1,005	+2,009	−563
T3	−38	+19	+284	+501
T4	+669	+335	−469	+804
T5	+201	+335	−268	+536
Theme 1	**+3,737**	**−1,423**	**+3,617**	**+1,831**

- **T1:** Receives Apr-27 to Apr-28, where the terminal is priced. The stop sits above the Q3 peak forward (5.03%), ~4 daily standard deviations away (realised 7.5bp/day).
- **T2:** Holds the view through a hawkish November that would stop out T1. Notional is ~£417m at 25bp; above 25bp, scale up T1 instead.
- **T3:** Covers the Budget (28 Oct), MPC (5 Nov) and Ofgem cap (25 Nov), hedging scenarios 2 and 4. Buy only at or below realised vol (78bp); valued at the 26 Nov exit.
- **T4:** The fly is at +15bp (1y range −10 to +25bp) as Mediums rise and Longs shrink. The stop is ~3× daily realised vol.
- **T5:** Supply hasn't reached swap spreads yet (1y low 44bp). The catalyst is headroom below £10bn or a gilt-heavy remit.
- *Overlap:* T1, T2 and T4's 2y wing are one front-end bet.

Theme 2: Inflation persistence, with domestic pressures re-accelerating (UK, euro area, G10)

Current state of the theme

- **The common shock:**
  - Energy has lifted headline inflation across the G10, though not continuously: Brent fell back to $70 by end-June, then re-intensified in Q3 (dated $127 on 14 Oct).
  - The curve is steeply backwardated (Dec-26 ~$110, Dec-27 ~$87), so the market prices the shock fading.
  - Central banks are split. The Fed (3.75–4.00%), ECB (2.50%) and BoJ (1.25%) hiked in September; the BoE and BoC (2.25%) held.
  - Domestic pressures haven't clearly turned anywhere, with only tentative signs in the euro area and Japan.
- **UK:**
  - Not re-accelerating yet: services 3.4% (from 4.4% in January) and core 2.6%, both flat. DMP expectations are steady (1y 3.1%, 3y 2.8%, wages 3.4%).
  - The pipeline is building: CPI is seen above 4% in early 2027, the Ofgem cap is estimated at +22%, and hikes lift RPI through mortgage interest.
  - 3y RPI is 4.02%, 47bp below its March peak.
- **Euro area:**
  - The rise is in headline, not domestic, inflation. September HICP was 3.8% (energy +18.8%).
  - Services (3.2%) and core (2.5%) are only 20–30bp above their troughs, and one month of volatile data isn't a trend. Wages haven't responded.
  - The ECB sees inflation "well above target for an extended period," and Lagarde is uncommitted for 29 Oct.
  - Swaps price 1y1y inflation at ~2.3% and 5y5y at ~2.2% (ECB, 9 Sep).
- **Other G10:**
  - US PCE is 3.8%, against a 2.37% 5y breakeven that is 30bp below its March peak.
  - Japanese core CPI is expected above 2% for the first time since December.
  - Canada (CPI 3.0%, trimmed core 1.9%) is looking through.

Scenarios

Theme 2's scenarios turn on two questions: does the energy shock persist, and do second-round effects take hold, and where? Broad persistence is a 25% risk, but breakevens and the Brent curve price the shock fading. The euro area gets its own scenario because it has the widest headline–breakeven gap; that scenario requires its tentative services uptick to become a trend. The long end stays anchored (5y5y ~2.2% in EUR, ~3.1% in UK RPI), so all the trades sit in the front end.

Scenario	Prob.	Energy	Second-round effects	UK 3y RPI	EUR 1y1y infl.	US 5y BE	EUR – GBP 1y1y	Brent Dec-27
A. Shock fades	20%	Reverses (US–Iran deal) or demand destruction	None	3.70%	2.10%	2.18%	−149bp	$72
B. Contained plateau	40%	Stays high; headline peaks early 2027	Contained	3.95%	2.35%	2.40%	−162bp	$93
C. Euro-area-led	15%	Stays high	Euro area only: services ≥ 3.3%, wages respond	4.05%	2.60%	2.42%	−135bp	$93
D. Broad persistence	25%	Stays high, plus a winter gas spike	G10-wide: services, wages and expectations rise	4.45%	2.70%	2.67%	−179bp	$104

- *Level anchors:* A = 1y lows; B = roughly flat plus carry; C = EUR closes half its gap to the March high; D = March 2026 highs.
- *Pairings with Theme 1:* A ↔ one-and-done, B and C ↔ gradual, D ↔ full cycle.
- *Key events:* Canada CPI (19 Oct), UK labour (20 Oct), UK CPI (21 Oct), BoC (28 Oct), ECB and BoJ (29 Oct), BoE DMP (30 Oct), euro area flash HICP, and the Ofgem cap (25 Nov).

Trades

Expected P&L is +£1.51m on £4.03m of max loss: +£5.58m in broad persistence, −£3.08m if the shock fades. Themes 1 + 2 together are +£3.84m expected and positive in every natural pairing: +£0.54m (A with one-and-done), +£4.61m (B with gradual), +£6.28m (C with gradual) and +£4.16m (D with the full cycle).

#	Trade	Entry	Target	Stop	R : R	Conv.	Size	Max loss	Exp. P&L
T6	Long UK 3y zero-coupon RPI swap	4.02%	4.45%	3.72%	1.4x	3	£33k/bp	£1.01m	+£80k
T7	Long US 5y breakeven (TIPS vs Treasuries)	2.37%	2.67%	2.20%	1.8x	3	£59k/bp	£1.01m	+£357k
T8	Long EUR 1y1y HICPx inflation swap	~2.30% (ECB, 9 Sep)	2.70%	2.10%	2.0x	2	£25k/bp	£502k	+£314k
T9	Pay EUR 1y1y vs receive SONIA 1y1y (EUR − GBP)	−169bp	−135bp	−192bp	1.5x	2	£22k/bp each leg	£502k	+£204k
T10	Long Brent Dec-27 future	$86.7 (16 Oct settle)	$102	$77	1.6x	3	£104k per $1/bbl (~134 lots)	£1.01m	+£555k
	Total							**£4.03m**	**+£1.51m**

P&L by scenario (£k)	A (20%)	B (40%)	C (15%)	D (25%)
T6	−1,005	−236	+101	+1,441
T7	−1,002	+176	+295	+1,768
T8	−504	+126	+753	+1,005
T9	+437	+153	+742	−220
T10	−1,005	+654	+654	+1,586
Theme 2	**−3,079**	**+873**	**+2,545**	**+5,581**

- **T6:** UK persistence shows up first in the front end (Ofgem cap, RPI mortgage interest). The target is the March high. It avoids the long end because of RPI reform risk.
- **T7:** A 2.37% breakeven against 3.8% PCE carries positively. The stop is just above the 1y low (2.16%).
- **T8:** The widest gap in the G10 (3.8% headline vs ~2.3% priced). It rests on that gap, not on domestic data. Enter at or below 2.40%; move to conviction 3 if October services print ≥ 3.3%.
- **T9:** The ECB is priced for the least persistence (~70bp of hikes vs ~113bp BoE, ~90bp Fed). It wins in A–C and loses in D, where GBP's higher beta (8.0 vs 5.8bp/day) sells off harder. The stop sits beyond the 1y range (−182 to −119bp).
- **T10:** The curve prices a fast fade: Dec-27 is ~$40 below dated Brent. If energy stays high, roll-up toward spot (~$93) is the payoff and is included as carry. It stops out in A.
- *Not traded:* NOK (EURNOK already at its 1y low, 10.71); CAD (weak despite oil, USDCAD 1.427); Japan and Canada linkers (illiquid or non-existent).
- *Sizing:* T6, T7, T8 and T10 share one factor, energy (£4.64m combined max loss). T9 is a rates spread with lower energy correlation.
- *Levels:* BoE curves (UK, 15 Oct); FRED (US, 16 Oct); ECB (EUR inflation, 9 Sep; AAA curve for the EUR 1y1y, a government curve, so the €STR swap spread may differ slightly); press settlement (Brent, 16 Oct).

Theme 3: Euro area fiscal crisis, with the political risk premium rising

Current state of the theme

- **France is the epicentre:**
  - OAT–Bund 10y is 145bp (19 Oct), up from 59bp a year ago and just below the ~147bp peak of early October, the widest since 2012. France now trades wider than Italy.
  - A €43–54bn 2027 consolidation faces a parliament with no stable majority: the revenue vote is on 20 Oct and the final vote ~17 Nov.
  - The deficit is ~5% of GDP in 2027, and the presidential election is due in spring 2027.
- **Ratings:** Moody's Aa3 negative (review 23 Oct); S&P A+ stable (review 27 Nov). Fitch warned on 9 Oct; Scope cut to A+ on 18 Sep; DBRS is on negative outlook.
- **Contagion is in the banks, not the periphery:**
  - SocGen's 5y senior non-preferred CDS was 103bp on 5 Oct against 86.5bp for Deutsche Bank; the two were identical in late August. French bank shares are down 19–25% since mid-August, against 10% for the CAC.
  - Italy is 107bp (peak 131bp on 2 Oct) and Belgium 65bp (from 55bp). Spain is flat at ~45bp. Bunds are the safe haven (10y 3.49%, 19 Oct).
- **Backdrop:**
  - Energy and defence spending (+0.65pp of GDP in 2026, +0.9pp in 2027) are eroding fiscal space.
  - The ECB is hiking and running down its bond holdings, so private buyers absorb more supply.

Scenarios

Much of the premium rise has already happened: OAT–Bund has more than doubled in a year. The base case is a grind wider into the spring 2027 election, not a crisis. So the trades lean on relative value (France against Spain) and convexity (Bund calls), with only a small outright widener. The calls pay in a crisis and also when the energy shock fades, Theme 2's worst scenario.

Scenario	Prob.	What happens	OAT–Bund	France–Spain 10y	Bund 10y	French banks vs Senior Fin.
A. Muddle through	25%	Budget passes in some form; ratings hold	105bp	75bp	3.55%	+5bp
B. Grind wider	40%	Budget forced through or delayed; a downgrade; election premium builds	150bp	100bp	3.40%	+30bp
C. Crisis	15%	Government falls or budget fails; contagion to Italy and Belgium; TPI untested under an excessive-deficit procedure	190bp	120bp	3.10%	+80bp
D. Shock fades	20%	Energy reverses; ECB hikes priced out; spreads compress	95bp	72bp	3.15%	0bp

- *Signposts:* French revenue vote (20 Oct), Moody's (23 Oct), ECB (29 Oct), final budget vote (~17 Nov), S&P (27 Nov), Italian spreads, and 2027 candidate polling.

Trades

Expected P&L is +£0.77m on £2.52m of max loss, with a convex profile: +£5.86m in a crisis, +£0.91m if the shock fades, +£0.65m on the grind wider and −£2.18m if France muddles through. The Bund call spread (T13) and the bank CDS (T14) carry the theme.

#	Trade	Entry	Target	Stop	R : R	Conv.	Size	Max loss	Exp. P&L
T11	OAT–Bund 10y widener	137bp limit (now 145bp)	175bp	118bp	2.0x	2	£27k/bp	£502k	+£61k
T12	Short 10y OAT vs long 10y Bonos (DV01-neutral)	~85bp	115bp	70bp	2.0x	2	£33k/bp	£502k	+£182k
T13	6m Bund future call spread (≈ 3.42% / 3.20% yield)	Premium ≤ 30% of max payout	Max payout £3.35m	Premium	≥ 2.3x	3	£1.01m premium	£1.01m	+£289k
T14	Buy 5y French bank CDS (BNP, SocGen, Crédit Agricole) vs sell iTraxx Senior Financials	~+15bp	+60bp	0bp	3.0x	2	£33k/bp	£502k	+£242k
	Total							**£2.52m**	**+£0.77m**

P&L by scenario (£k)	A (25%)	B (40%)	C (15%)	D (20%)
T11	−504	+343	+1,005	−504
T12	−335	+504	+1,005	−434
T13	−1,005	−699	+2,345	+2,345
T14	−335	+502	+1,506	−502
Theme 3	**−2,178**	**+650**	**+5,861**	**+905**

- **T11:** The direct expression, kept small and entered only on a retracement to 137bp: at 145bp, near the peak, its expected P&L is negative. Add towards 120bp before the ratings reviews.
- **T12:** Isolates the French premium from contagion and the Bund bid; Spain has held at ~45bp while France doubled. The entry is estimated from ECB September averages plus October moves.
- **T13:** Pays below 3.42% on the Bund, in full at 3.20%, in a crisis or when the shock fades. Buy only if the premium is ≤ 30% of the max payout.
- **T14:** The contagion trade: the sovereign–bank loop is already live while Italy holds. It pays on a downgrade as well as in a crisis, and adds a credit leg that doesn't depend on Bund direction. Senior Financials, not Main, keeps general credit out; carry is ~−7bp over six months. Levels are from press reports and need checking on the Terminal.
- *Not traded:* BTP–Bund widener (Italy hasn't followed France; it pays only in a crisis and costs ~50bp of carry over six months; T13 already holds the flight to quality); EUR downside as a cross-asset overlay.
- *Levels:* Press reports (OAT–Bund 19 Oct; bank CDS 5 Oct) and ECB monthly long-term rates (to September).

Theme 4: Euro area fiscal and growth revival (German fiscal expansion, rotation out of the US, Ukraine resolution)

Current state of the theme

- **Where it stands:**
  - This was 2025's story; the energy shock put it on hold in 2026, and the market has given up on it.
  - EURUSD is at its 1y low (1.119, from 1.198 in January). The Bund curve is flat (2s10s 39bp) because the ECB is hiking into an energy shock.
- **German fiscal:**
  - The impulse is real: record borrowing of €512bn in 2026 (€318bn of bonds), and the Bundesbank sees ~1.3pp of GDP of defence and infrastructure impulse through 2028.
  - In October, Nagel saw ~1% growth this year, double June's 0.5%.
  - The 2027 issuance plan comes in December.
- **Rotation out of the US:**
  - It has stalled. Euro equity ETFs saw outflows from late February until July.
  - The Stoxx 600's discount to the S&P is the smallest in four years.
  - A 161bp UST–Bund 10y spread (5.10% vs 3.49%) pulls money back to the US.
- **Ukraine:** Talks, but no deal. The US has proposed trilateral talks by end-October. The 11 Oct "energy ceasefire" Trump announced is unconfirmed by either side, and strikes have escalated.
- **Bund curve (19 Oct):** 2y 3.10%, 10y 3.49% (a 17-year high), 30y 3.88%. 5s30s is 68bp (1y range 56–124bp), having flattened 27bp in Q3 despite record long-end supply.

Scenarios

A revival is a 25% scenario, but pricing treats it as close to zero. The curve flattened and EUR fell for cyclical reasons (energy and the ECB), not because the fiscal story died, so the payoff is asymmetric. A Ukraine deal is a 10% tail that lifts EUR and steepens the curve.

Scenario	Prob.	Growth and flows	ECB	EURUSD	Bund 5s30s	Triggers
A. Revival takes hold	25%	German GDP > 1%; inflows return	Hikes; the long end leads on term premium and supply	1.20	85bp	Oil stabilises; a large 2027 Bund plan; Fed cuts
B. Slow burn	40%	Spending lands slowly; energy offsets it	On hold at 2.50%	1.13	72bp	Status quo
C. Derailed	25%	Energy deepens; French crisis; US exceptionalism returns	Hikes into weakness; bear flattening	1.08	58bp	Hormuz stays shut; French downgrade; UST > 5.25%
D. Peace dividend	10%	Ukraine deal; gas falls; reconstruction	Hikes priced out; bull steepening	1.17	95bp	Durable ceasefire

- *Signposts:* Ukraine talks (end-October), ECB (29 Oct), German Q3 GDP, the 2027 Bund plan (December), and weekly euro equity flows.

Trades

Expected P&L is +£1.10m on £1.51m of max loss: +£4.59m if the revival takes hold, +£3.48m on a peace dividend, −£0.20m on the slow burn and −£1.28m if derailed. Themes 2 and 3 pay when energy or politics go wrong; Theme 4 pays when they don't.

#	Trade	Entry	Target	Stop	R : R	Conv.	Size	Max loss	Exp. P&L
T15	Bund 5s30s steepener (DV01-neutral)	68bp	95bp	55bp	2.1x	3	£77k/bp	£1.01m	+£467k
T16	6m EURUSD call spread, 1.14 / 1.20	Premium ≤ 80 pips (model, 6.5% vol)	Max payout ~7.5× premium	Premium	~7.5x	2	£502k premium	£502k	+£631k
	Total							**£1.51m**	**+£1.10m**

P&L by scenario (£k)	A (25%)	B (40%)	C (25%)	D (10%)
T15	+1,313	+308	−772	+2,087
T16	+3,277	−504	−504	+1,388
Theme 4	**+4,590**	**−195**	**−1,275**	**+3,475**

- **T15:** Record Bund supply meets a curve that has flattened from 124bp to 68bp. It loses only in C. The stop is below the 1y low (56bp), ~5× daily realised vol.
- **T16:** Options are cheaper than spot: realised vol is 5.0% and spot carries negatively (6m forward ~1.110). The 1.20 cap is January's high. Buy only at or below 80 pips; valued at expiry.
- *Not traded:* Europe vs US equities (an equity-book trade); PLN and Ukraine reconstruction (a 10% tail that T15 and T16 already cover).
- *Levels:* Bundesbank curve (19 Oct); FRED (EURUSD 9 Oct, UST 15 Oct).

Theme 5: The AI bubble bursts

Current state of the theme

- **Where it stands:**
  - Markets are priced as if nothing can go wrong: the Nasdaq is 3% off its 6 Oct record (26,713), VIX is 16.5 and IG spreads are 84bp (1y range 73–94bp).
  - That is despite 5.10% 10y Treasuries, $127 Brent and a hiking Fed. AI drove ~80% of US equity gains in 2025.
- **Capex:**
  - Nvidia sees hyperscaler capex near $800bn in 2026 and ~$1.3trn in 2027. Amazon, Alphabet and Microsoft are spending ~102% of cloud revenue on it.
  - A burst needs a capex cut; late-October earnings are the next test.
- **Debt is where the cracks are:**
  - AI-related issuance is ~$500bn so far this year (Goldman), four times last year's pace.
  - Hyperscaler bond order books fell from ~5× covered in February to under 2× in July (Apollo).
  - ~$660bn of data-centre leases sits off balance sheet (Moody's), much of it financed by private credit. The market is questioning the speculative names (CoreWeave).
- **Macro link:** The 2y (4.77%) sits ~90bp above SOFR, so hikes are priced; a December hike is the median dot. A burst flips that to cuts. The Nasdaq already trades against the 2y (6m correlation −0.38).

Scenarios

A burst is a 20% risk (C + D) over six months, but pricing treats it as remote. Credit is the weak link because the buildout is debt-funded, not because AI demand has peaked. The Fed's response turns an equity event into a rates trade.

Scenario	Prob.	Trigger	Nasdaq	US 2y	IG OAS	Fed
A. Boom continues	45%	Capex guided higher; earnings beat	+10%	4.95%	80bp	Hikes in December
B. Correction	35%	Capex digestion; rates and energy bite	−10%	4.55%	95bp	Pauses
C. Burst	15%	A hyperscaler cuts capex	−30%	3.80%	140bp	Cuts by Q1 2027
D. Burst, with a credit event	5%	A data-centre financing fails	−40%	3.40%	190bp	Cuts aggressively

- *Signposts:* Hyperscaler earnings and capex guidance (late October), Nvidia earnings (November), FOMC (28 Oct, 9 Dec), hyperscaler bond order books, CoreWeave funding, and private-credit redemptions.

Trades

Expected P&L is +£2.10m on £2.52m of max loss: +£11.22m in a burst (all three trades hit their targets), +£1.94m in a correction and −£1.82m if the boom continues. The theme pays in the growth shock that hits Themes 2 and 4, at the cost of the most likely scenario.

#	Trade	Entry	Target	Stop	R : R	Conv.	Size	Max loss	Exp. P&L
T17	Receive US 2y (long 2y Treasury)	4.77%	3.90%	5.05%	3.1x	3	£36k/bp	£1.01m	+£610k
T18	6m Nasdaq 100 put spread, 95% / 75%	Premium ≤ 3.0% of spot (model, 21% vol)	Max payout ~6.7× premium	Premium	~6.7x	3	£1.01m premium	£1.01m	+£0.94m
T19	Buy 5y CDX IG protection	84bp (ICE BofA IG OAS)	140bp	72bp	4.7x	2	£42k/bp	£502k	+£555k
	Total							**£2.52m**	**+£2.10m**

P&L by scenario (£k)	A (45%)	B (35%)	C (15%)	D (5%)
T17	−646	+791	+3,122	+3,122
T18	−1,005	+686	+5,753	+5,753
T19	−166	+461	+2,345	+2,345
Theme 5	**−1,817**	**+1,938**	**+11,219**	**+11,219**

- **T17:** ~90bp of hikes priced gives the front end the most to reprice. The stop sits above the 1y high (4.92%), ~5× daily realised vol. It is also hurt by Theme 2's broad persistence.
- **T18:** The burst trade itself, cheap with VIX at 16. It pays a quarter of its max in a 10% correction. Buy only at or below 3.0% of spot; notional ~£34m, valued at expiry.
- **T19:** Spreads are near their tights with record AI issuance ahead. Levels use the ICE BofA IG OAS as a proxy; the target and stop scale with CDX at execution.
- *Not traded:* JPY (−3.5% annual carry; hasn't tracked equities in 2026; Theme 7 holds it through a put spread instead); TWD and KRW (outside this book).
- *Levels:* FRED (15–16 Oct).

Theme 6: Dollar debasement (Fed capture, fiscal dominance, reserves moving out of dollars)

Current state of the theme

- **Where it stands:**
  - The market is pricing the opposite. Warsh's Fed hiked unanimously to 3.75–4.00% on 16 September, and the 2y (4.77%) still prices further hikes.
  - The curve has flattened into the hikes: 2s30s is 71bp, at the bottom of its 1y range (53–140bp). The 30y is 5.48%, near its 1y high of 5.67%.
- **Pressure on the Fed:**
  - Trump wants rates at 1%, calls the board "very hostile" and says Warsh should have voted against the hike.
  - On 9 October he set up a committee of inquiry to restart the removal of Governor Cook, after the Supreme Court blocked an immediate removal (5–4) earlier this year. Her lawyer says a hearing can't happen before December.
  - Removing Cook would set the precedent. Powell's seat as a governor (to January 2028) would be next.
- **Reserves are moving out of dollars:**
  - Central banks bought a record 289t of gold in Q2 and ~63t in September, the most since November 2024; Poland and China lead.
  - Gold ($4,166) is still ~27% below January's ~$5,608 high. ETFs sold as yields rose above 5% and the dollar firmed, so investor positioning has been flushed out while the official bid has grown.
- **Not in the price:** 10y breakevens are 235bp, mid-range (218–250bp). Debasement would show up in the long end, the dollar and gold first.

Scenarios

Debasement is a 50% scenario (B + C) over six months, but the market prices a hawkish Fed and a firm dollar: 2s30s is at the bottom of its range and gold is 27% off its high. If the dollar holds, the curve has ~15bp left to flatten and gold ~5% to fall. If debasement takes hold, the front end rallies while the long end sells off and gold rallies, and the moves are several times larger.

Scenario	Prob.	Fed and policy	US 2y	US 30y	2s30s	Gold	Triggers
A. Dollar holds	40%	Hikes in December; Cook stays	4.95%	5.50%	55bp	$3,950	The inquiry stalls; courts protect Cook; core inflation sticky
B. Slow debasement	35%	Pauses after December under pressure; deficits widen	4.60%	5.60%	85bp	$4,550	Cook hearing drags on; new nominations; official gold buying continues
C. Capture or disorderly debasement	15%	Cook removed; a board majority pushes cuts by Q1 2027	4.00%	5.80%	175bp	$5,200	Cook removed; Warsh pivots; pressure on the balance sheet
D. Growth shock	10%	Cuts on the data, not politics	3.80%	5.00%	120bp	$4,500	Theme 5's burst; payrolls turn negative

- *Signposts:* FOMC (28 Oct, 9 Dec), the Cook hearing (December at the earliest), board nominations, Treasury refunding (4 Nov), and the World Gold Council's monthly central bank data.
- *Pairings:* B and C weaken the dollar, which helps Theme 7 (USDJPY put spread) and Theme 4 (EURUSD calls). D is Theme 5's burst.

Trades

Expected P&L is +£0.89m on £2.01m of max loss: +£4.31m on capture, +£2.26m on a growth shock, +£1.43m on slow debasement and −£1.22m if the dollar holds. The theme makes money in three of four scenarios because the steepener and gold also pay in Theme 5's burst.

#	Trade	Entry	Target	Stop	R : R	Conv.	Size	Max loss	Exp. P&L
T20	UST 2s30s steepener (DV01-neutral)	71bp	120bp	50bp	2.3x	3	£48k/bp	£1.01m	+£514k
T21	Short 30y UST	5.48%	6.00%	5.25%	2.3x	2	£22k/bp	£502k	+£164k
T22	Long gold, Jun-27 futures	$4,255	$5,000	$3,960	2.5x	2	£1.70k per $1 (~2,270oz)	£502k	+£207k
	Total							**£2.01m**	**+£0.89m**

P&L by scenario (£k)	A (40%)	B (35%)	C (15%)	D (10%)
T20	−766	+669	+2,345	+2,345
T21	+44	+262	+699	−502
T22	−502	+502	+1,269	+417
Theme 6	**−1,224**	**+1,434**	**+4,312**	**+2,260**

- **T20:** Steepens on capture (bear) or a growth shock (bull), and loses only if the Fed keeps hiking. The stop is below the 1y low (53bp), ~4.7× daily realised vol.
- **T21:** The term-premium leg, and a hedge for the book's long-duration trades (T1, T17). The stop is 23bp, ~5× daily realised vol. It loses in a growth shock.
- **T22:** The debasement asset, with positioning already flushed out and central banks buying. The entry is spot plus ~2% carry, so financing is in the price. The stop is ~5× daily vol (22%, in line with GVZ at 22.3). Futures beat a 4,300 / 5,000 call spread (≤ $190) on expected P&L, about +£207k against +£65k for the same max loss.
- *Not traded:* Short USDCHF (−3.9% annual carry; the 6m forward, 0.809, already prices the move in B); breakevens (T7 already holds US 5y).
- *Levels:* US Treasury par and real yield curves (19 Oct); gold, GoldPrice.org (17 Oct); GVZ, CBOE (15 Oct).

Theme 7: BoJ normalisation, with Japanese money coming home

Current state of the theme

- **BoJ:**
  - It hiked to 1.25% on 18 September (7–2 vote), the highest since 1995. Ueda says hikes help stabilise JGBs and financial conditions are still accommodative.
  - It is leaning against a back-to-back hike on 30 October; December is live.
- **JGBs (16 Oct):** 2y 1.92%, 5y 2.34%, 10y 2.96%, 30y 4.04%.
  - The 5y is at its 1y high (range 1.20–2.44%), and the 10y hit a 30-year high (3.06%) on 24 September.
  - 10s30s has flattened from 153bp to 108bp as the front end catches up with the superlongs.
- **Yen:**
  - It is weak despite the hikes: USDJPY is 158.2 (1y range 150.8–163.9) and EURJPY 177.6 (175.7–187.7).
  - Japan spent a record ¥15.4trn on intervention between 30 July and 26 August, with US Treasury participation. On 19 October the finance minister warned that Japan would intervene again.
- **Politics:** PM Takaichi denies she is driving the weak yen and high rates, and says JGB issuance will be kept "at an appropriate level".

Scenarios

The BoJ is hiking, but the yen hasn't followed: the US–Japan rate gap and Takaichi's fiscal stance keep USDJPY near 158. Intervention caps the upside at ~165, while steady hikes, a Fed that stops hiking or a risk-off move all take it lower. The payoff is skewed to a stronger yen.

Scenario	Prob.	BoJ	USDJPY	EURJPY	JGB 5y	Triggers
A. Steady normalisation	40%	Hikes in December and April, to 1.75%	150	171	2.60%	Strong 2027 wage round; core CPI > 2%
B. BoJ stalls	30%	On hold at 1.25%	161	181	2.25%	Political pressure; weak Q3 GDP
C. Disorderly repricing	15%	Hikes to 2% by mid-2027; money comes home	140	163	2.85%	Fed cuts (Theme 6, C); JGB auctions tail
D. Global risk-off	15%	Pauses; the yen rallies as a haven	145	166	2.15%	Theme 5's burst

- *Signposts:* BoJ (30 Oct, 18–19 Dec), Tokyo CPI, union wage demands for the 2027 round (December), the MoF's monthly intervention data, and JGB 30y auctions.
- *Pairings:* C pairs with Theme 6's capture (a weaker dollar). D pairs with Theme 5's burst, where the yen is the hedge the book was missing.

Trades

Expected P&L is +£1.30m on £2.01m of max loss: +£5.58m in a disorderly repricing, +£2.50m in a global risk-off, +£1.47m on steady normalisation and –£1.67m if the BoJ stalls. The yen trades also pay in Theme 5's burst, so this theme hedges the book's growth risk.

#	Trade	Entry	Target	Stop	R : R	Conv.	Size	Max loss	Exp. P&L
T23	6m USDJPY put spread, 152 / 142	Premium ≤ ¥2.40 (model, 10% vol)	Max payout ~4.3× premium	Premium	~4.3x	3	£1.01m premium	£1.01m	+£440k
T24	Pay 5y TONA OIS	OIS at execution (JGB 5y 2.34%)	+36bp	−14bp	2.6x	2	£36k/bp	£502k	+£395k
T25	Short EURJPY	177.6	168.0	182.5	2.0x	2	£102k/yen	£502k	+£461k
	Total							**£2.01m**	**+£1.30m**

P&L by scenario (£k)	A (40%)	B (30%)	C (15%)	D (15%)
T23	−142	−1,005	+3,307	+2,014
T24	+933	−323	+1,292	−502
T25	+676	−348	+985	+985
Theme 7	**+1,467**	**−1,676**	**+5,584**	**+2,496**

- **T23:** The put spread is struck below the 6m forward (155.4), so the 3.5% carry works for it, not against it. The 142 floor is below the 1y low (150.8). Buy only at or below ¥2.40; valued at expiry.
- **T24:** The BoJ path, paid in OIS rather than cash JGBs: the BoJ owns ~half the stock and 5y issues trade special in repo, so a cash short risks a squeeze that a 14bp stop can't absorb. The 5y prices a terminal rate near 1.75%; the stop is ~5× daily realised vol. It loses in a risk-off pause.
- **T25:** The yen without the Fed. EURJPY is near its 1y low; the stop is above the Q3-end level (178.3), ~5× daily realised vol. Carry (−0.6% over six months) is excluded.
- *Not traded:* Invoice spread (short JGB futures vs swaps is a view on JGB supply against swaps, not the BoJ path, and the futures sit at 7–10y; revisit with live swap levels); JGB 10s30s flattener (the 45bp flattening has already happened); short 30y JGB (the superlongs have already repriced to 4%, and T21 holds the long-end view in the US).
- *Sizing/overlap:* T23 and T25 are both long yen, together £1.51m of max loss; they lose together only if the BoJ stalls.
- *Levels:* Japan MoF JGB curve (16 Oct); ECB reference rates (19 Oct).